

NCBA Group 1H21 Earnings Note

NCBA Group **1H21** net earnings increased by **76.93%** to KES **4.66Bn**. The rise was mainly driven by a decrease in in loan loss provisions that dropped by **60.70%** to KES **0.64Bn** and a **19.7%** increase in net interest income to **KES 13.4Bn**.

NCBA's Board of Directors recommended an interim payment of dividends of KES 0.75

Key Highlights:

- **Decline in loan book:** The bank's loan book declined by **3.01%** y/y to **130.28Bn** as its risk appetite remained low in the current environment. NCBA increased its yield on interest earning assets from 9.0% to 9.4% and managed to grow its interest income by **8.68%** y/y despite the decrease in its loan book. The rise in its yield on loans may be attributed to increased lending on its digital platform. NCBA disbursed **KES 272Bn** in digital loans which was a **16%** y/y increase. The bank's NIMs grew 1.18% to 5.6% as the yield on interest bearing assets increased while the cost of funds decreased by 0.76% to 3.8%.
- **Improved efficiency:** The bank's CTI (cost to income) ratio marginally improved to 43% from 44% as operating expenses grew at a slower rate of 11.3% than the 13.4% growth in income. The rise in costs was mainly driven by merger costs that saw a KES **700.7Mn** increase in costs as a result of job cuts and increased investments in modernizing the banks technology architecture. Staff costs rose by **10.55%** y/y while other operating expenses edged up by **21.09%** to KES **4.87Bn**.
- **Asset quality book declines:** Gross NPLs edged up by **16.45%** y/y to KES **29.51Bn**. The NPL ratio stood at **18.80%** in the review period, above the existing industry average of **14.0%** underlining the banks poor asset quality. Loan loss provisions dropped by **22.39%** y/y to KES **5.92Bn** contributing to the bank's profitability. We expect the bank to increase provisions in 2H21 as we expect the NPLs to increase.

Outlook

The bank's improving efficiency is positive and we expect the CTI ratio to continue to decline due to the one-off costs associated with the merger. Investors are likely to view the payment of an interim dividends positively. We, however, remain concerned about the bank's high NPL ratio which we believe is likely to remain elevated.

30th August 2021

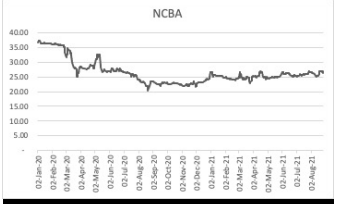
Current price: KES 26.45

Target price: KES 30.29

Upside: 1.15%

52 Week High: KES 27.10

52 Week Low: KES 21.70



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Table 1 : Financial Statement Summary

Income Statement (Kes Millions)	30-Jun-20	30-Jun-21	Change
Interest income	20,681	22,475	8.68%
Interest expense	9,467	9,048	-4.43%
Net Interest Income	11,214	13,427	19.74%
Total non-interest income	10,075	10,705	6.25%
Loan loss provisison	7,626	5,919	-22.39%
Total operating income	21,289	24,132	13.35%
Other operating expense	4,018	4,865	21.09%
Total operating expenses	16,983	16,320	-3.90%
PBT	3,907	7,414	89.77%
Tax	1,165	2,896	148.69%
PAT	2,632	4,657	76.93%
EPS	1.76	2.83	60.80%
Gross NPL	38,678	45,042	16.45%

Balance Sheet (Kes Millions)	30-Jun-20	30-Jun-21	Change
Cash with CBK	32,580	29,513	-9.41%
Govt Securities -HTM	89,749	102,694	14.42%
Govt Securities -Dealing	65,154	69,704	6.98%
Total gov securities	154,904	172,398	11.29%
Loans and Advances to local banks	472	645	36.83%
Loans and Advances to customers	248,306	239,601	-3.51%
Total assets	514,030	542,596	5.56%
Deposits from customers	390,489	437,340	12.00%
Deoposits with other banks	4,047	1,076	-73.40%
Other money market deposits	-	-	-
Borrowed funds	21,416	7,300	-65.92%
Balances due intergroup	-	-	-
Total Liabilities	443,728	468,159	5.51%
Total shareholder equity	70,302	74,436	5.88%

Source: Company filings, AIB-AXYS



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